

ANNUAL REPORT & ACCOUNTS 2011



Air & Freight • Transport • Public Transportation • Warehousing • Container Storage



A Member of Diniz Holdings Group

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Group Information

DIRECTORS

DR. C. W Obura - Chairman
Hector Diniz
Kajal Thakker
Pinhas Moskovich *

* Israeli

CHIEF EXECUTIVE OFFICER

Hector Diniz

REGISTERED OFFICE

Airport Trade Centre
Freight Road
P.O. Box 40433, 00100
NAIROBI

PRINCIPAL PLACE OF BUSINESS

Express House
Ectoville, Road A, Off Enterprise Road
Industrial Area
P.O. Box 40433, 00100
NAIROBI

Telephone: +254 (20) 3002372-5
Cell: +254 (722) 204102-3
Fax: +254 (20) 531323
Website: www.expresskenya.com

INDEPENDENT AUDITOR

PKF Kenya
Certified Public Accountants
P.O. Box 14077, 00800
NAIROBI

COMPANY SECRETARIES

Equatorial Secretaries and Registrars
Certified Public Secretaries
P.O. Box 47323, 00100
NAIROBI

PRINCIPAL BANKER

Commercial Bank of Africa Limited
NAIROBI

LEGAL ADVISORS

Archer and Wilcock Advocates
NAIROBI

Notice of Annual General Meeting

for the year ended 31 December 2011

NOTICE IS HEREBY GIVEN that the Fourty First Annual General Meeting of the Company will be held at Eka Hotel along Mombasa Road, Nairobi on 21st September 2012 at 11.00 a.m. to transact the following business:

1. To table the proxies and to note the presence of a quorum.
2. To read the notice convening the meeting.
3. To confirm the minutes of the Fourtieth Annual General Meeting held on 5th August 2011.
4. To receive and consider the Financial Statements for the year ended 31 December 2011 together with the Chairman's Statement and the reports of the Directors and Auditors thereon.
5. To note that the Directors do not recommend payment of a dividend (2010: nil) in respect of the financial year ended 31 December 2011.
6. To approve the Directors' fees as indicated in the Financial Statements for the year ended 31 December 2011.
7. To re-elect Directors:-

Mr. Pinhas Moscovich retires in accordance with Article 113 of the Company's Articles of Association and, being eligible, offers himself for re-election.

8. To reappoint Messrs. PKF Kenya, as the Company's Auditors until the conclusion of the next Annual General Meeting of the Company and to authorise the Directors to fix their remuneration.

SPECIAL BUSINESS

9. To discuss the future of the Company vis-a-vis the current business position.
10. INCREASE OF AUTHORISED SHARE CAPITAL

To consider and if approved, pass the following ordinary resolutions;

That the authorized share capital of the company be increased from Kshs. 216,000,000/- divided into 43,200,000 ordinary shares of Kshs 5/- each, to Kshs. 1,250,000,000/- divided into 250,000,000 ordinary shares of Kshs 5/- each by the creation of an additional 206,800,000 ordinary shares of Kshs 5/- each, such shares shall rank pari passu in all respects with the existing 43,200,000 ordinary shares of the company.

11. RIGHTS ISSUE

That subject to the passing of the above resolution and obtaining of the necessary regulatory approvals, the paid up share capital of the company be increased from Kshs. 177,018,950/- to Kshs. 1,239,132,650/- by way of rights issue of 6 shares for every 1 share held to the existing members of the company. The date of the closure of the register of members for the rights issue and the transaction time table to be published by the directors. The shares will be offered at a nominal value of Kshs. 5/- each.

That the rights issue is not subject to a minimum subscription level and that any rights not taken up shall be offered on terms and conditions as are determined by the Directors and notified to the shareholders through the press.

12. To transact any other business of the Annual General Meeting of which due notice has been received.

BY ORDER OF THE BOARD

EQUATORIAL SECRETARIES AND REGISTRARS SECRETARIES

Date: **15TH AUGUST 2012**

Note: A member entitled to attend and vote at the above meeting is entitled to appoint one or more proxies to attend and vote on his or her behalf. A proxy need not be a member. To be valid, a form of proxy which is attached to this notice must be duly completed and signed by the member and must either be lodged at the Registered office of the Company, Express House, Road A, off Enterprise Road, P O Box 40433-00100, Nairobi or with the Company Secretaries, Equatorial Secretaries and Registrars, Kalamu House, Grevillea Grove, off Brookside Drive, Westlands, Nairobi P O Box 47323, 00100-Nairobi, so as to reach not later than 11.00 a.m. on 19th September 2012.

The annual report for the year ended 31st December 2011 and a form of proxy have been uploaded on our website: www.expresskenya.com



Dr. C. W. Obura

I am pleased to present the annual report and financial statements for Express Kenya Limited for the year ended 31st December 2011.

The year's performance demonstrates the high level of commitment amongst the board, management and staff to strive towards meeting stakeholders expectations. It is reflective of the support the business enjoyed from all its' stakeholders.

Operating Environment

The economy of Kenya faced challenges during the second half of 2011. The rate of economic growth declined from 4.9% to 3.6% with the forecast for the entire 2011 GDP growth rate estimated at 3-4%. The average annual inflation was 14% compared to 4% in 2010. This rising inflation was attributable to increased imported inflation and persistent supply side shocks.

Likewise, the year 2011 was full of challenges for Express Kenya Limited. The transport and Logistics industry has indeed become more competitive, with several entrants in current

years having commenced operations in our home base in Kenya.

Higher price levels on account of rising international oil prices coupled with the weakening of the Kenyan shilling, not to mention the loss of a major client were the main catalysts.

Fuel accounts for about half of the company's cost structure and as such, every dollar added resulted in a more than average increase in added cost. The last year ended with an average of USD 106 per barrel, which translated to a 33% increase



Cargo on board a plane from JKIA, Nairobi.

on the USD79.4 average in the previous quarters. The high cost of fuel posed a major risk to profitability in this industry and regrettably; the skyrocketing oil prices that followed the political unrest in parts of the Middle East and the military intervention in Libya had a bigger and more immediate impact on the industry.

While the share price is disappointing at present, it does reflect circumstances and events primarily outside our control and these will be reversed as our economic conditions improve.

Looking Ahead:

Express Kenya Limited now has a clear growth strategy and our visionary Board of Directors, shareholders, management team and staff will make it happen.

We are aware that simply responding to challenges is not enough. Challenges have to be anticipated. To succeed, the company has to adopt a sense of continuous change in the way it conducts its' business. This involves the re-designing of business processes so as to be more adaptable to the changing business and environmental challenges.

In an Industry where timing is everything, I am proud to inform you that Express Kenya has greatly improved on the amount of time taken to deliver goods to clients with an almost 99% accuracy.

Our strong customer base in all other departments ensures a continuous flow of revenue and business operations continue as scheduled.



Vehicles awaiting inspection at our P.D.I. Section



A crane lifting off a container.

Express Kenya Limited is a strong, dynamic organisation, with a 94-year history of endurance and prosperity through many and challenging economic cycles.

I am confident that the Board and management will continue to grow our company and in effect, its' shareholders wealth.

Acknowledgement and Appreciation:

On behalf of the Board, I thank all shareholders for the support and loyalty they have exhibited over the past year. I also thank my fellow board members who have been nothing short of resourceful and innovative during this trying period. My appreciation also goes to all the management and staff of the company for their show of competence and professionalism in all their dealings.

It is through the support of all stakeholders that we shall be able to steer the company into even greater heights.

Sincerely,

A handwritten signature in black ink.

DR. C. W. OBURA
CHAIRMAN

CEO's Statement

It is my great pleasure to present our annual report and accounts for the year ended 31st December 2011.

The economic meltdown negatively impacted the volume of goods transported to and from one corner of the country. Given that Express Kenya acts as a one stop shop for Transport and Logistic solutions, the warehouse division was in turn affected by low occupancy rates and with the loss of East Africa Breweries Limited, which accounted for the major transport revenue, Express Kenya Limited came under immense pressure from the banks due to its huge obligations.

Insecurity problems hovered over the company like a dark cloud. We experienced a number of theft cases in our go-downs whereby a number of clients lost their goods. The transport sector was not spared either as goods were vandalized while in transit. The period also included a lot of highway accidents and thefts involving our trucks. It was therefore not a surprise when our insurance premiums were increased.

The company continued to survive in this ever competitive market where consumers were constantly offered cheaper services by smaller competitors with fewer overheads. Some of the warehouse clients had also established their own go-downs and did not require our services. The airfreight division continued to incur losses, which was mainly attributed to the lack of a reliable network of reputable international forwarders and consistently produced minimal profit since the company continued its reliance on the business brought in by traditional clients.



Seafreight - Clearing and forwarding



Our new head-office at Airport Trade Centre, JKIA

Though the government has really improved the transport infrastructure in major towns, the same cannot be said of far and remote areas. This in effect increased the company's wear and tear expenditure in vehicle spare parts where new tyres and other such expenses had to be incurred on an almost daily basis at twice the cost.

It thus comes as no surprise when we consider 2011 the toughest year for us. It is in this year where we experienced the highest ever overhead costs which were led by high human capital costs, out of control fuel prices, sky rocketing insurance premiums, unfavourable foreign exchange transactions, high operating expenses due to vehicle spare-parts amongst other costs.

All these factors combined, greatly affected our profit margin and led to the publishing of a profit warning statement in major newspapers to help prepare our shareholders earlier this year.

MOVING FORWARD...

2012 began with problems similar to those faced in the year 2011. However, it is worthy to note that in order to counter the cost; we have had to re-design our business processes to be more adaptable to the prevailing circumstances. This has led to a unanimous decision amongst the board members to practise prudent financial management and enforce a stringent risk assessment to ensure we remain a financially viable business in these challenging times while remaining steadfast in keeping our business transparent.



Part of our fleet of Prime movers and Car -Carriers



P.D.I. Section - Detailed Vehicle Inspection.

Since the loss of the EABL contract, the company has decided to diversify its portfolio so that the business never suffers another backlash. That said, we are pleased to announce that the company has entered into long term contracts with some of the major players in the industry. This will help ensure that the large number of assets in our possession do not lie idle as well as assure the company of a predictable and regular source of revenue. With such contracts in place, the company does not need to worry about its gearing position given the assets are generally covering their own costs.

Our contracts with other major clients, as well as those with associate group companies, have held true and continue supporting the company. This ensures the maintenance of a constant flow of revenue that enables the company to cover its administrative overheads, financial costs as well as other direct and indirect expenses.

The management team has been constantly innovative and has proved perceptive to new ideas and investment options. The management has decided to broaden its portfolio to include other non-conventional ways of increasing the shareholders

wealth and which in time have proved to and will continue generating positive results.

Though the situation remains fragile, our consistent investment in a broad portfolio of products and services and our strong desire to excel points us in the direction of the much needed change.

That said, 2012 shall be a milestone year for Express Kenya Limited' direction and strategy. Our vision is to focus on investment decisions and our role is to ensure that each acquisition has the right team in place, with the right financial platform and strict financial discipline. In this way, we will achieve both a consistent return on investment for our shareholders, and cash to fund our ongoing activities.

Appreciation:

We thank all the shareholders for their generosity and support, the Chairman for his untiring and devoted service at the helm, our management team for the valuable time and expertise it has pressed into service, to members of the staff for their devotion in form of countless man hours of service and last but not least, to all our customers and suppliers-your support through these lean times has constantly rekindled the Express spirit.

Kind regards,

H. DINIZ
C.E.O



Goods stored in one of our warehouses.

Objective

Corporate governance defines the process and structure used to direct and manage business affairs of the company with the aim of enhancing corporate accounting and shareholder's long term value while taking into account the interest of other stakeholders.

The Board of Directors of Express Kenya Limited is accountable to shareholders and stakeholders not only for the financial performance of the company but also for the manner in which that performance is achieved. It is the principal organ responsible for giving leadership and direction on matters of Corporate Governance in line with the Capital Markets Authority (CMA) Guidelines and good corporate governance practices generally.

The Board continues to ensure that all disclosure requirements and other continuing obligations of the CMA are complied with. The Board acknowledges that it is responsible for ensuring the transparency, accountability and integrity of the financial systems and internal control mechanisms in the organization and hereby confirms that sufficient safeguards have been put in place and are reviewed on a regular basis.

Audit Committee

The committee is chaired by Mr Pinhas Moscovich. The Internal Auditor is an ex-officio of the committee.

Its main function include the overseeing of financial reporting and is responsible for the detailed review of all audit matters; consideration of the appointment of external auditors and the maintenance of a professional relationship with them; and for reviewing the accounting principle, policies and practices adopted in the preparation of public financial information.

Other functions include evaluating the effectiveness of the internal audit function, including its purposes, activities, scope and adequacy and approval of the annual Internal Audit plan. Also, it evaluates policies, procedures and systems introduced by management, thus ensuring that these are functioning effectively

Remunerations and Nominations Committee

The committee's main responsibility is the review and approval of remuneration packages for Executive Directors and Senior Management. Also, the committee makes recommendations to the Board in respect to appointment of new directors and also reviews employment equity skills development and succession planning.

Other functions include; determine, approve and develop the company's general policy on remuneration as well as specific policy on executive remuneration; review the general levels of remuneration for directors of the Board as well as its committee.

Risk Management and Internal Controls

The Board through the Audit Committee constantly assesses, reviews policies and procedures to ensure best practices are followed in conducting the day to day operations and financial reporting as well as in implementing strategic plans approved by the Board.

In reviewing the effectiveness of the systems of internal control and risk management, the Board constantly monitors the operational and financial aspects of the Company's activities through the Audit Committee, the advice of external auditors and recommendations from the regular management meetings that are relevant to any operational and financial risk that the company may face.

Major Shareholders

A schedule containing names, numbers of shares and actual percentages of 30 largest shareholders is provided on page 48.

Report of the Directors

for the year ended 31 December 2011

The directors submit their report and the consolidated audited financial statements for the year ended 31 December 2011, which disclose the state of affairs of the company and its subsidiaries (together, the 'group')

PRINCIPAL ACTIVITIES

The principal activities of the group are that of clearing and forwarding services for both air and sea as well as warehousing and logistics services.

RESULTS	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
(Loss)/profit before tax	(222,354,797)	(14,869,306)	(217,864,267)	42,190,211
Tax	(6,733,316)	(13,221,694)	(5,068,940)	(13,221,694)
(Loss)/profit for the year	(229,088,113)	(28,091,000)	(222,933,207)	28,968,517

DIVIDEND

The directors do not recommend the declaration of a dividend for the year (2010: Nil).

DIRECTORS

The directors who held office during the year and to the date of this report are shown on page 2.

Mr. Pinhas Moscovich retires in accordance with Article 113 of the Company's Articles of Association and, being eligible, offers himself for re-election.

AUDITOR

PKF Kenya was appointed during the year and has indicated its willingness to continue in accordance with Section 159(2) of the Companies Act (Cap. 486).

BY ORDER OF THE BOARD



Equatorial secretaries and Registrars,
Kalamu House, Grevillea Grove, Westlands
P O Box 47323-00100
Nairobi

Date: 20th July 2012

Statement of Directors' Responsibilities

The Companies Act (Cap. 486) requires the directors to prepare financial statements which give a true and fair view of the state of affairs of the company and its subsidiaries, (together, the 'group'), as at the end of the financial year and of the results for that year. It also requires the directors to ensure that the group maintains proper accounting records which disclose with reasonable accuracy the financial position of the group. The directors are also responsible for safeguarding the assets of the group.

The directors accept the responsibility for the financial statements which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, consistent with previous years, and in conformity with International Financial Reporting Standards and the requirements of the Companies Act (Cap. 486). The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group as at 31 December 2011 and of its results for the year then ended. The directors further confirm the accuracy and completeness of the accounting records maintained by the group which have been relied upon in the preparation of the financial statements, as well as on the adequacy of the systems of internal financial controls.

Nothing has come to the attention of the directors to indicate that the group will not remain a going concern for at least the next twelve months from the date of this statement.

Approved by the board of directors on 20 July 2012 and signed on its behalf by:



Dr. C. W. Obura
Director



Mr. H. Diniz
Director

Date: 20 July 2012

Report of the Independent Auditors

to the members of Express Kenya Limited

Report on the financial statements

We have audited the accompanying financial statements of Express Kenya Limited and its subsidiaries (together, the 'group') set out on pages 12 to 47 which comprise the consolidated and company statements of financial position as at 31 December 2011 and the consolidated and company statements of comprehensive income, consolidated and company statements of changes in equity, consolidated and company statements of cash flows for the year then ended and a summary of significant accounting policies and other explanatory information.

Directors' responsibility for the financial statements

The directors are responsible for the preparation of consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the Companies Act (Cap. 486) and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an independent opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risk of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal controls relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying consolidated financial statements give a true and fair view of the financial position of the group and the company as at 31 December 2011, and the group and company's financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act (Cap. 486).

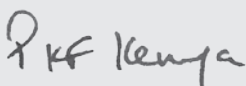
Emphasis of matter

Without qualifying our opinion, we draw attention to Note 1 of the financial statements which indicates that the group had an excess of current liabilities over current assets of Shs. 271,816,870 (2010: Shs. 376,601,771) and there were accumulated losses of Shs. 135,200,838 at the reporting date. These conditions indicate the existence of material uncertainty which may cast significant doubt about the group's ability to continue as a going concern. However, the financial statements have been prepared on a going concern basis based on the information set out in Note 1.

Report on other legal requirements

As required by the Companies Act (Cap. 486) we report to you, based on our audit, that:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- (ii) in our opinion proper books of account have been kept by the group, so far as appears from our examination of those books; and
- (iii) the group's statement of financial position and statement of comprehensive income are in agreement with the books of account.



PKF Kenya
P.O. Box 14077, 00800
Nairobi

Date: 20 July 2012

Consolidated Statement of Comprehensive Income

for the year ended 31 December 2011

	Notes	2011 Shs	2010 Shs
Revenue	3	450,323,979	856,512,346
Direct costs		(455,941,698)	(651,816,426)
Gross (loss)/profit		(5,617,719)	204,695,920
Other operating income	4	54,774,334	8,554,088
Administrative expenses		(83,342,049)	(66,953,152)
Other operating expenses		(33,133,084)	(61,116,976)
Operating (loss)/profit	5	(67,318,518)	85,179,880
Finance costs	7	(99,026,279)	(100,049,186)
Impairment provisions	8	(56,010,000)	-
(Loss) before tax		(222,354,797)	(14,869,306)
Tax	9	(6,733,316)	(13,221,694)
(Loss) for the year		(229,088,113)	(28,091,000)
Total comprehensive (loss) for the year		(229,088,113)	(28,091,000)
(Loss) for the year is attributable to:			
- Owners of the parent		(225,811,838)	(5,391,000)
- Non-controlling interest		(3,276,275)	(22,700,000)
		(229,088,113)	(28,091,000)
Earnings per share			
Basic and diluted (loss) per share	10	(6.47)	(0.79)

The significant accounting policies on pages 19 to 25 and the notes on pages 26 to 45 form an integral part of these financial statements.

Report of the independent auditor - page 11.

Company Statement of Comprehensive Income

at 31 December 2011

	Notes	2011 Shs	2010 Shs
Revenue	3	429,301,242	824,848,445
Direct costs		(455,941,698)	(651,752,083)
Gross (loss)/profit		(26,640,456)	173,096,362
Other operating income	4	40,939,392	8,554,088
Administrative expenses		(75,365,280)	(53,156,656)
Other operating expenses		(35,617,009)	(30,557,286)
Operating (loss)/profit	5	(96,683,353)	97,936,508
Finance costs	7	(64,681,914)	(55,746,297)
Impairment provisions	8	(56,499,000)	-
(Loss)/profit before tax		(217,864,267)	42,190,211
Tax	9	(5,068,940)	(13,221,694)
(Loss)/profit for the year		(222,933,207)	28,968,517
Total comprehensive (loss)/income for the year		(222,933,207)	28,968,517
Earnings per share			
Basic and diluted (loss) per share	10	(6.30)	0.82

The significant accounting policies on pages 19 to 25 and the notes on pages 26 to 45 form an integral part of these financial statements.

Report of the independent auditor - page 11.

Consolidated Statement of Financial Position

as at 31 December 2011

	Notes	2011 Shs	2010 Shs
CAPITAL EMPLOYED			
Share capital	11	177,018,950	177,018,950
Share premium		10,501,719	10,501,719
Revaluation reserve	12	118,238,000	120,448,000
Retained (deficit)/earnings		(135,200,838)	88,401,000
Shareholders' funds		170,557,831	396,369,669
Non-controlling interest		(15,282,275)	(12,006,000)
		155,275,556	384,363,669
Non-current liabilities			
Borrowings	13	80,431,705	285,109,096
Deferred tax	14	121,610,937	116,541,997
		202,042,642	401,651,093
		357,318,198	786,014,762
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	15	629,135,068	751,616,533
Investment property	16	-	365,000,000
Goodwill	17	-	46,000,000
		629,135,068	1,162,616,533
Current assets			
Inventories	19	-	2,418,357
Trade and other receivables	20	96,104,702	148,005,704
Cash and cash equivalents	21	14,362,038	7,447,889
Tax recoverable		27,195,303	22,710,997
		137,662,043	180,582,947
Current liabilities			
Trade and other payables	22	122,909,632	136,252,433
Borrowings	13	286,569,281	420,932,285
		409,478,913	557,184,718
Net current (liabilities)		(271,816,870)	(376,601,771)
		357,318,198	786,014,762

The financial statements on pages 12 to 45 were authorised for issue by the Board of Directors on 20 July 2012 and were signed on its behalf by:



Dr. C. W. Obura
Director



Mr. H. Diniz
Director:

The significant accounting policies on pages 19 to 25 and the notes on pages 26 to 45 form an integral part of these financial statements.

Report of the independent auditor - page 11.

Company Statement of Financial Position

as at 31 December 2011

	Notes	2011 Shs	2010 Shs
CAPITAL EMPLOYED			
Share capital	11	177,018,950	177,018,950
Share premium		10,501,719	10,501,719
Revaluation reserve	12	118,238,000	120,448,000
Retained (deficit)/earnings		(116,175,690)	104,547,517
Shareholders' funds		189,582,979	412,516,186
Non-current liabilities			
Borrowings	13	47,844,576	101,409,474
Deferred tax	14	121,610,937	116,541,997
		169,455,513	217,951,471
		359,038,492	630,467,657
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	15	629,109,080	751,586,832
Investment in subsidiaries	18	7,492,000	53,981,000
		636,601,080	805,567,832
Current assets			
Inventories	19	-	2,418,357
Trade and other receivables	20	93,466,501	302,324,500
Cash and cash equivalents	21	11,432,578	6,713,851
Tax recoverable		27,795,532	22,483,542
		132,694,611	333,940,250
Current liabilities			
Trade and other payables	22	123,687,918	124,410,981
Borrowings	13	286,569,281	384,629,444
		410,257,199	509,040,425
Net current (liabilities)		(277,562,588)	(175,100,175)
		359,038,492	630,467,657

The financial statements on pages 12 to 45 were authorised for issue by the Board of Directors on 20 July 2012 and were signed on its behalf by:



Dr. C. W. Obura
Director



Mr. H. Diniz
Director

The significant accounting policies on pages 19 to 25 and the notes on pages 26 to 45 form an integral part of these financial statements.

Report of the independent auditor - page 11.

Consolidated Statement of Changes in Equity

for the year ended 31 December 2011

	Notes	Share capital Shs	Share premium Shs	Revaluation reserve Shs	Retained earnings/ (deficit) Shs	Total Shareholders funds Shs
Year ended 31 December 2010						
At start of year		177,018,950	10,501,719	122,658,000	91,582,000	401,760,669
Total comprehensive (loss) for the year		-	-	-	(5,391,000)	(5,391,000)
Transfer of excess depreciation	12	-	-	(3,157,000)	3,157,000	-
Deferred tax on excess depreciation transfer	12	-	-	947,000	(947,000)	-
At end of year		177,018,950	10,501,719	120,448,000	88,401,000	396,369,669
Year ended 31 December 2011						
At start of year		177,018,950	10,501,719	120,448,000	88,401,000	396,369,669
Total comprehensive (loss) for the year		-	-	-	(225,811,838)	(225,811,838)
Transfer of excess depreciation	12	-	-	(3,157,000)	3,157,000	-
Deferred tax on excess depreciation transfer	12	-	-	947,000	(947,000)	-
At end of year		177,018,950	10,501,719	118,238,000	(135,200,838)	170,557,831

The significant accounting policies on pages 19 to 25 and the notes on pages 26 to 45 form an integral part of these financial statements.

Report of the independent auditor - page 11.

Consolidated Statement of Cash Flows

for the year ended 31 December 2011

	Notes	2011 Shs	2010 Shs
Operating activities			
Cash from operations	23	32,510,196	237,057,891
Interest paid		(70,414,804)	(90,369,175)
Tax paid		(4,484,306)	(10,903,000)
Net cash (used in)/from operating activities		(42,388,914)	135,785,716
Investing activities			
Interest income		5,547,920	-
Additions to property, plant and equipment	15	(282,300)	(128,171,971)
Proceeds from disposal of investment property		373,287,022	-
Proceeds from disposal of property, plant and equipment		37,080,000	7,868,000
Net cash from/(used in) investing activities		415,632,642	(120,303,971)
Financing activities			
Net movement in borrowings		(316,589,447)	(82,113,694)
Net cash (used in) financing activities		(316,589,447)	(82,113,694)
Increase/(decrease) in cash and cash equivalents		56,654,281	(66,631,949)
Movement in cash and cash equivalents			
At start of year		(234,090,960)	(157,779,000)
Increase/(decrease) in cash and cash equivalents		56,654,281	(66,631,949)
Effect of exchange rate changes		(25,624,809)	(9,680,011)
At end of year	21	(203,061,488)	(234,090,960)

The significant accounting policies on pages 19 to 25 and the notes on pages 26 to 45 form an integral part of these financial statements.

Report of the independent auditor - page 11.

Company Statement of Cash Flows

for the year ended 31 December 2011

	Notes	2011 Shs	2010 Shs
Operating activities			
Cash from operations	23	189,539,991	196,893,919
Interest paid		(54,843,151)	(50,276,627)
Tax paid		(5,311,989)	(10,903,000)
Net cash from operating activities		129,384,851	135,714,292
Investing activities			
Additions to property, plant and equipment	15	(282,300)	(128,171,971)
Proceeds from disposal of property, plant and equipment		37,080,000	7,868,000
Net cash from/(used in) investing activities		36,797,700	(120,303,971)
Financing activities			
Net movement in borrowings		(127,509,738)	(86,363,649)
Net cash (used in) financing activities		(127,509,738)	(86,363,649)
Increase/(decrease) in cash and cash equivalents		38,672,813	(70,953,328)
Movement in cash and cash equivalents			
At start of year		(234,824,998)	(158,402,000)
Increase/(decrease) in cash and cash equivalents		38,672,813	(70,953,328)
Effect of exchange rate changes		(9,838,763)	(5,469,670)
At end of year	21	(205,990,948)	(234,824,998)

The significant accounting policies on pages 19 to 25 and the notes on pages 26 to 45 form an integral part of these financial statements.

Report of the independent auditor - page 11.

Notes to the Financial Statements

for the year ended 31 December 2011

SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

a) Basis of preparation

The consolidated financial statements are prepared on the historical cost basis in accordance with International Financial Reporting Standards (IFRS), as modified by the revaluation of certain items of property, plant and equipment in line with the requirements of International Accounting Standard 16 (IAS 16) on Property, Plant and Equipment.

The preparation of consolidated financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the group's accounting policies. Changes in assumptions may have a significant impact on the consolidated financial statements in the period the assumptions changed. Although these estimates and judgements are based on the managements' best knowledge of current events and actions, actual results may differ from those estimates. Accounting policy 'c' on 'critical accounting estimates and judgements highlights the areas that involve a higher level of judgement, or where the estimates or assumptions used are significant to the consolidated financial statements.

There have been no new Standards, Amendments and Interpretations relevant to the group that have been adopted in the year ending 31 December 2011.

The following Standards have been issued and are mandatory for the group's accounting periods beginning on or after 1 January 2012 or later periods and are expected to be relevant to the group:

- International Financial Reporting Standard (IFRS 13) on 'Fair Value Measurement' - The standard aims to improve consistency and reduce complexity by providing a more precise definition and a single source of measurement and disclosure requirements. Adoption is mandatory from 1 January 2013 although early adoption is permissible.

The group has not assessed the potential impact of IFRS 13 on its financial statements.

- International Financial Reporting Standard (IFRS 10) on 'Consolidated Financial Statements' builds on existing principles by identifying the concept of control as the determining factor in whether an entity should be included within the consolidated financial statements of the parent company. The standard provides additional guidance to assist in the determination of control where this is difficult to assess.

The group has assessed the impact of implementing IFRS 10 and expects no significant change in the method of accounting.

- International Financial Reporting Standard (IFRS 9) on 'Financial Instruments: Classification and Measurement' - The standard was issued in November 2009 and will replace the areas in International Accounting Standard 39 (IAS 39) that relate to classification and measurement of financial assets. Adoption is mandatory from 1 January 2015 although early adoption is permissible.

The group is yet to assess the full impact that IFRS 9 shall have on its consolidated financial statements.

Impact of other Standards and Interpretation:

The directors anticipate that the adoption of other standards, amendments and interpretations resulting from the International Accounting Standards Board (IASB)'s, Improvements to IFRS, issued in 2011 will have no material impact on the financial statements of the group. The IASB's annual improvements process deals with non-urgent, minor amendments to standards.

SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

b) Segmental reporting

An operating segment is a component of the group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the group's other components, whose operating results are reviewed regularly by the chief operating decision maker to make decisions about resources allocated to each segment and assess its performance, and for which discrete financial information is available.

c) Accounting estimates and judgements

The group's consolidated financial statements and its financial results are influenced by its accounting policies and the assumptions, estimates and judgements made by management.

These estimates, assumptions and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the prevailing circumstances.

i) Key sources of estimation uncertainty

- Useful lives of property, plant and equipment

Management reviews the useful lives and residual values of the items of property, plant and equipment on a regular basis. During the financial year, the directors determined no significant changes in the useful lives and residual values.

ii) Critical judgements in applying the group's accounting policies

Management has made the following judgements that are considered to have the most significant effect on the amounts recognised in the consolidated financial statements:

- Impairment of trade receivables

The group reviews their portfolio of trade receivables on an annual basis. In determining whether receivables are impaired, the management makes judgement as to whether there is any evidence indicating that there is a measurable decrease in the estimated future cash flows expected.

d) Consolidation

Subsidiaries are all entities (including special purpose entities) over which the group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the group controls another entity.

The group also assesses the existence of control where it does not have more than 50% of the voting rights power but is able to govern the financial and operating policies of a subsidiary. Control may arise in circumstances where the size of the group's voting rights relative to the size and dispersion of holdings of other shareholders give the group the power to govern the financial and operating policies, etc.

Income and expenses of subsidiaries acquired or disposed of during the year are included in the consolidated statement of comprehensive income from the effective date of acquisition and up to the effective date of disposal as appropriate. Total comprehensive income of subsidiaries is attributed to the owners of the company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Notes to the Financial Statements

for the year ended 31 December 2011

SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

d) Consolidation (continued)

The group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The group recognises any non-controlling interest in the acquiree on an acquisition by acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.

Subsidiaries are fully consolidated from the date at which the company starts controlling them and are de-consolidated from the date that control ceases.

Inter-company transactions, balances and unrealised gains on transactions between the group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Where necessary, accounting policies of subsidiaries have been changed to ensure consistency with the policies adopted by the group.

e) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the performance of services, in the ordinary course of business and is stated net of Value Added Tax (VAT), rebates and discounts after eliminating sales within the group.

The group recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when the specific criteria have been met for each of the groups's activities as described below. The amount of revenue is not considered to be reliably measured until all contingencies relating to the sale have been resolved. The group bases its estimates on historical results, taking into consideration the type of customer, type of transaction and specifics of each arrangement.

- Sales of services are recognised upon performance of the services rendered.
- Interest income is accounted for in the period in which it is earned.
- Rental income is accrued by reference to time on a straight line basis over the lease term.

f) Property, plant and equipment

All property, plant and equipment is initially recorded at cost and thereafter stated at historical cost less depreciation. Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use.

Buildings are subsequently shown at market value, based on periodic, but at least triennial valuations by external independent valuers, less subsequent depreciation. Any accumulated depreciation at the date of revaluation is eliminated against the gross carrying amount of the asset, and the net amount is restated to the revalued amount of the asset.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost can be reliably measured. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.

SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

f) Property, plant and equipment (continued)

Increases in the carrying amount arising on revaluation are credited to other comprehensive income. Decreases that offset previous increases of the same asset are charged to other comprehensive income; all other decreases are charged to profit or loss. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Freehold land is not depreciated.

Leasehold land is depreciated over the remaining period of the lease.

Capital work in progress relates to borehole drilling and land improvement that have not been completed. Capital work in progress is not depreciated.

Depreciation on all other assets is calculated on a straight line basis to write down the cost of each asset, or the revalued amount, to its residual value over their estimated useful life as follows:

Buildings	50 years
Plant and machinery	8 years
Furniture, fittings and equipment	8 years
Motor vehicles	5 years
Computer, faxes and copiers	3 1/3 years
Beer containers	4 years

The assets residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by comparing the proceeds with the carrying amount and are taken into account in determining operating (loss)/profit. On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings in the statement of changes in equity.

g) Translation of foreign currencies

- *Functional and presentation currency:*
Items included in the financial statements of each of the group entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings.
- *Transactions and balances:*
Transactions in foreign currencies during the year are converted into Kenya Shillings (the functional currency), at rates ruling at the transaction dates. Assets and liabilities at the reporting date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in profit or loss in the year in which they arise.

SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

h) Investment property

Investment property is a long-term investment in building that is not occupied substantially for own use. Investment property is initially recognised at cost and subsequently carried at fair value representing open market value at the reporting date. Changes in fair value are recorded in profit or loss.

Subsequent expenditure on investment property where such expenditure increases the future economic value in excess of the original assessed standard of performance is added to the carrying amount of the investment property. All other expenditure is recognised in profit or loss in the year which it is incurred.

The property's residual value and useful life is reviewed, and adjusted if appropriate, at the end of each reporting period.

The property's carrying amount is written down immediately to its recoverable amount if the carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of investment property are determined by reference to their carrying amount and are taken into account in determining operating (loss)/profit.

i) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average cost (WAC) method. The cost of finished goods comprise the purchase price, but excludes borrowing costs. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

j) Financial instruments

Financial assets and liabilities are recognised when the group becomes a party to the contractual provisions of the instrument. Management determines the classification of financial instruments at the time of initial recognition.

Financial assets

The group's financial assets which include trade and other receivables, cash and bank balances and tax recoverable fall into the following category:

- Loans and receivables: financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are classified as current assets where maturities are within 12 months of the date of this report. All assets with maturities greater than 12 months after the date of this report are classified as non-current assets. Subsequent to initial recognition, they are carried at amortised cost using the effective interest method. Changes in the carrying amount are recognised in profit or loss.

Purchases and sales of financial assets are recognised on the trade date i.e. the date on which the group commits to purchase or sell the asset.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the group has transferred substantially all risks and rewards of ownership.

SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

j) Financial instruments (continued)

Financial assets (continued)

A financial asset is impaired if its carrying amount is greater than its estimated recoverable amount. Impairment of financial assets is recognised in profit or loss under administrative expenses when there is objective evidence that the group will not be able to collect all amounts due per the original terms of the contract. Significant financial difficulties of the issuer, probability that the issuer will enter bankruptcy or financial reorganisation, default in payments and a prolonged decline in the fair value of the asset are considered indicators that the asset is impaired.

The amount of the impairment loss is calculated at the difference between the assets carrying amount and the present values of expected future cash flows, discounted at the financial asset's effective interest rate.

Subsequent recoveries of amounts previously written off/impaired are credited to profit or loss in the year in which they occur.

Financial liabilities

The group's financial liabilities which include borrowings and trade and other payables fall into the following category:

- **Financial liabilities measured at amortised cost:** These are initially measured at fair value and subsequently measured at amortised cost, using the effective interest rate method.

All financial liabilities are classified as current liabilities unless the group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Borrowings are initially recognised at fair value, net of transaction costs incurred and are subsequently stated at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognised as interest expense in profit or loss under finance costs.

Financial liabilities are derecognised when, and only when, the group's obligations are discharged, cancelled or expired.

Offsetting financial instruments

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when there is a legally enforceable right to offset the amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

k) Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents comprise cash in hand and deposits held at call with banks, net of bank overdrafts.

In the statement of financial position, bank overdrafts are included within borrowings in current liabilities.

l) Share capital

Ordinary shares are classified as equity.

SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

m) Dividends

Proposed dividends are disclosed as a separate component of equity until declared.

Dividends are recognised as a liability in the period in which they are approved by the group's shareholders.

n) Taxation

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss.

Current tax

Current tax is provided on the results for the year, adjusted in accordance with tax legislation.

Deferred tax

Deferred tax is provided using the liability method for all temporary timing differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary timing differences can be utilised.

o) Accounting for leases

The company as a lessee:

Leases of assets under which a significant portion of the risks and rewards of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight line basis over the period of the lease.

Leases of property, plant and equipment, where the group assumes substantially all the risks and rewards of ownership, are classified as finance leases. Finance leases are capitalised at cost. Each lease payment is allocated between the liability and finance charges. The interest element is charged to profit or loss over the lease period and is included under finance costs. Such property, plant and equipment is depreciated over its useful life.

p) Retirement benefit obligations

The group operates a defined contribution staff retirement benefit scheme for its permanent and pensionable employees. The scheme is administered by an insurance company. The group's contributions to the defined contribution retirement benefit scheme are charged to profit or loss in the year to which they relate.

The group and its employees contribute to the National Social Security Fund (NSSF), a statutory defined contribution scheme registered under the NSSF Act. The group's contributions to the defined contribution scheme are charged to profit or loss in the year to which they relate.

q) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

Notes to the Financial Statements

for the year ended 31 December 2011

1. Basis of preparing the financial statements

At the reporting date, current liabilities exceeded current assets by Shs. 271,816,870 (2010: Shs. 376,601,771) and the company had accumulated losses of Shs. 135,200,838.

The directors consider it appropriate to prepare the financial statements on a going concern basis, which assumes that the group will continue in operation in the foreseeable future.

During the year, the group's main customer terminated its transport contract. As a result of this, the directors have:

- Hired out part of the group's transport fleet so as to generate cash flows to meet finance lease liabilities due to its bankers.
- Commenced restructuring the group's operational structure internally with an aim of reducing expenses and creating efficiencies.
- Disposed off its surplus transport fleet during the year to generate cash flows to settle its liabilities.
- Disposed off a parcel of land in Mombasa subsequent to the year end to reduce the bank liabilities.

The validity of the going concern assumption is based on the above mentioned steps being successfully implemented and that the group has neither the intention nor the need to liquidate or materially curtail the scale of its current operations.

2. Segment information

The group has three reportable segments which are the strategic business units offering different services and managed jointly. The operations of each reportable segment are as follows:

- Transport: includes distribution of products to various parts of the country on behalf of customers.
- Freight: handling of customers goods in and out of the country.
- Others: includes storage of customers' goods in the company's warehouse.

For each of the strategic business units, the Managing Director reviews internal management reports. Information regarding the results of each reportable segment is described below. Performance is measure based on each segment's gross margin contribution as indicated in the internal management reports that are reviewed by the Managing Director.

Notes to the Financial Statements

for the year ended 31 December 2011

2. Segment information (continued)

The segment results are as follows:

Year ended 31 December 2011

	Transport Shs	Freight Shs	Others Shs	Total Shs
Revenue	262,440,494	66,224,546	121,658,939	450,323,979
Direct costs	(247,922,775)	(53,986,291)	(37,600,995)	(339,510,061)
Gross profit	14,517,719	12,238,255	84,057,944	110,813,918
Other operating income				54,774,334
Impairment of other receivables				(10,010,000)
Impairment of goodwill				(46,000,000)
Operating and administrative expenses				(116,475,133)
Impairment of property, plant and equipment				(35,343,352)
Depreciation on property, plant and equipment				(81,088,285)
(Loss) from operations				(123,328,518)
Finance costs				(99,026,279)
(Loss) before tax				(222,354,797)
Tax charge				(6,733,316)
(Loss) for the year				(229,088,113)

	Transport Shs	Freight Shs	Others Shs	Total Shs
Year ended 31 December 2010				
Revenue	624,794,099	83,898,046	147,820,201	856,512,346
Direct costs	(423,659,093)	(66,190,241)	(77,271,633)	(567,120,967)
Gross profit	201,135,006	17,707,805	70,548,568	289,391,379
Other operating income				8,554,088
Operating and administrative expenses				(128,070,128)
Depreciation on property, plant and equipment				(84,695,459)
Profit from operations				85,179,880
Finance costs				(100,049,186)
(Loss) before tax				(14,869,306)
Tax charge				(13,221,694)
(Loss) for the year				(28,091,000)

Notes to the Financial Statements

for the year ended 31 December 2011

2. Segment information (continued)

Other segment items included in the statement of comprehensive income are:

	Transport Shs	Freight Shs	Others Shs	Total Shs
Year ended 31 December 2011				
Depreciation on property, plant and equipment	70,370,611	2,926,064	7,791,610	81,088,285
Impairment of trade receivables	-	-	40,000	40,000
Year ended 31 December 2010				
Depreciation on property, plant and equipment	73,817,000	1,517,000	9,361,459	84,695,459
Impairment of trade receivables	(12,599,0001)	51,000	2,296,000	(10,252,000)

The segment assets, liabilities and capital expenditure for the period then ended are as follows:

	Transport Shs	Freight Shs	Others Shs	Total Shs
Year ended 31 December 2011				
Assets	362,404,886	32,542,480	344,654,443	739,601,808
Liabilities	367,066,944	33,167,792	89,675,882	489,910,618
Capital expenditure:				
- additions to property, plant and equipment	-	-	282,300	282,300
Year ended 31 December 2010				
Assets	664,263,000	60,140,000	617,295,000	1,341,698,000
Liabilities	587,166,000	6,814,000	246,816,000	840,796,000
Capital expenditure:				
- additions to property, plant and equipment	127,550,963	-	621,008	128,171,971

Segment assets comprise primarily property, plant and equipment, investment property, intangible assets, inventories, trade and other receivables and operating cash and bank balances. They exclude deferred tax and tax recoverable.

Segment liabilities comprise operating liabilities and corporate borrowings.

Capital expenditure comprises additions to property plant and equipment.

3. Sales

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Income	429,301,242	824,848,445	429,301,242	824,848,445
Gross investment property rental income	21,022,737	31,663,901	-	-
	450,323,979	856,512,346	429,301,242	824,848,445

4. Other operating income

	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Gain on disposal of property, plant and equipment	31,150,154	6,400,448	31,150,154	6,400,448
Gain on disposal of investment property	8,287,022	-	-	-
Miscellaneous income	9,789,238	2,153,640	9,789,238	2,153,640
Interest received	5,547,920	-	-	-
	54,774,334	8,554,088	40,939,392	8,554,088

Notes to the Financial Statements

for the year ended 31 December 2011

5. Operating (loss)/profit

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
The following items have been charged/(credited) in arriving at operating (loss)/profit:				
Depreciation on property, plant and equipment (Note 15)	81,088,285	84,695,459	81,084,572	84,691,216
(Gain) on disposal of property, plant and equipment	(31,150,154)	(6,400,448)	(31,150,154)	(6,400,448)
(Gain) on disposal of investment property	(8,287,022)	-	-	-
Fair value loss on investment property	-	29,723,293	-	29,723,293
Auditors' remuneration				
- current year	2,679,600	2,350,000	2,500,000	2,240,000
- underprovision in prior years	1,907,900	311,750	1,905,000	310,000
Directors remuneration	18,470,000	18,079,800	18,470,000	5,437,638
Operating lease rentals	10,926,717	5,553,950	13,459,355	5,225,948
Repairs and maintenance	5,585,184	2,021,834	5,585,184	2,021,834
Bad debts	-	(10,205,230)	-	(10,205,230)
Impairment of goodwill (Note 17)	46,000,000	-	-	-
Impairment of investment in subsidiary (Note 18)	-	-	46,489,000	-
Staff costs (Note 6)	78,705,175	78,867,244	78,705,175	78,867,244

6. Staff costs

Salaries and wages:				
- direct costs	52,585,931	47,588,015	52,585,931	47,588,015
- administrative	21,422,678	25,579,703	21,422,678	25,579,703
Staff welfare and other costs	3,150,854	3,714,302	3,150,854	3,714,302
Pension costs:				
- National Social Security Fund	470,800	528,800	470,800	528,800
- defined contribution scheme	1,074,912	1,456,424	1,074,912	1,456,424
	78,705,175	78,867,244	78,705,175	78,867,244

7. Finance costs

Net foreign exchange losses	25,624,809	9,680,011	9,838,763	5,469,670
Interest expense:				
- bank borrowings and overdraft	33,854,166	33,299,625	18,282,513	14,858,997
- cheque and invoice discounting	3,996,178	3,449,292	3,996,178	3,449,292
- hire purchase	32,564,460	31,968,338	32,564,460	31,968,338
- related parties borrowings	2,986,666	21,651,920	-	-
	99,026,279	100,049,186	64,681,914	55,746,297

8. Impairment provisions

Impairment of goodwill (Note 17)	46,000,000	-	-	-
Impairment of investment in subsidiary (Note 18)	-	-	46,489,000	-
Impairment of other receivables	10,010,000	-	10,010,000	-
	56,010,000	-	56,499,000	-

Notes to the Financial Statements

for the year ended 31 December 2011

9. Tax

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Current tax	1,664,376	-	-	-
Deferred tax charge (Note 14)	5,068,940	13,221,694	5,068,940	13,221,694
	6,733,316	13,221,694	5,068,940	13,221,694
The tax on the groups's (loss)/profit before tax differs from the theoretical amount that would arise using the basic rate as follows:				
(Loss) before tax	(222,354,797)	(14,869,306)	(217,864,267)	42,190,211
Tax calculated at a tax rate of 30% (2010: 30%)	(66,706,439)	(4,460,792)	(65,359,280)	12,657,063
Tax effect of:				
- expenses not deductible for tax purposes	32,450,500	17,682,486	29,438,965	564,631
- other permanent differences	(2,004,625)	-	(2,004,625)	-
- tax loss brought forward	(11,004,093)	-	(11,004,093)	-
- tax loss carried forward	53,997,974	-	53,997,974	-
Tax charge	6,733,316	13,221,694	5,068,940	13,221,694

10. Basic and diluted (loss) per share

The basic and diluted (loss) per share is calculated by dividing the net (loss) attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Net (loss) attributable to shareholders (Shs.)	(229,088,113)	(28,091,000)	(222,933,207)	28,968,517
Number of ordinary shares (Number)	35,403,790	35,403,790	35,403,790	35,403,790
Basic and diluted (loss) per share (Shs.)	(6.47)	(0.79)	(6.30)	0.82

11. Share capital

	Group & Company	
	2011 Shs	2010 Shs
Authorised:		
43,200,000 (2010: 43,200,000) ordinary shares of Shs. 5 each	216,000,000	16,000,000
Issued and fully paid:		
35,403,790 (2010: 35,403,790) ordinary shares of Shs. 5 each	177,018,950	177,018,950

Notes to the Financial Statements

for the year ended 31 December 2011

12. Revaluation reserve

	2011 Shs	2010 Shs
At start of year	120,448,000	122,658,000
Transfer of excess depreciation	(3,157,000)	(3,157,000)
Deferred tax on excess depreciation transfer (Note 14)	947,000	947,000
At end of year	118,238,000	120,448,000

The revaluation reserve arose upon the revaluation of buildings. The reserve is not distributable.

13. Borrowings

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Non-current				
Finance leases	47,844,576	101,409,474	47,844,576	101,409,474
Bank loans	-	105,410,735	-	-
Borrowings from directors (Note 24)	32,587,129	78,288,887	-	-
	80,431,705	285,109,096	47,844,576	101,409,474
Current				
Finance leases	69,145,755	123,090,595	69,145,755	123,090,595
Bank overdraft (Note 21)	217,423,526	241,538,849	217,423,526	241,538,849
Borrowings from directors (Note 24)	-	20,000,000	-	20,000,000
Bank loans	-	36,302,841	-	-
	286,569,281	420,932,285	286,569,281	384,629,444
Total borrowings	367,000,986	706,041,381	334,413,857	486,038,918

The bank borrowings, overdraft and finance leases are secured by the following:

- Legal charge over L.R. No. 12596/1 for Shs. 300 million.
- Legal charge over L.R. No. Mombasa Block I/335 for Shs. 90 million.
- Finance lease are secured by a right over the leased assets.

Borrowings from directors are unsecured with no fixed repayment date.

Weighted average effective interest rates at the year end were:

	Group		Company	
	2011 %	2010 %	2011 %	2010 %
- finance leases	23.5	8.5	23.5	8.5
- bank loans	16	16	-	16
- borrowings from directors - non current	9	9	9	9
- borrowings from directors - current	-	24	-	24
- bank overdraft - Kenya Shillings	23	13.5	23	13.5
- bank overdraft - United States Dollar	5	5	5	5

Notes to the Financial Statements

for the year ended 31 December 2011

13. Borrowings (continued)

The borrowing facilities expiring within one year are subject to review at various dates during the next financial year.

In the opinion of the directors, the carrying amounts borrowings approximate to their fair value.

There were no undrawn facilities at the reporting date.

The carrying amounts of borrowings are denominated in the following currencies:

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Kenya Shillings	228,515,059	577,401,381	195,927,930	357,398,918
United States Dollar	138,485,927	128,640,000	138,485,927	128,640,000
	367,000,986	706,041,381	334,413,857	486,038,918

Maturity based on the repayment structure of non-current borrowings (excluding finance leases) is as follows:

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Between 1 and 2 years	32,587,129	183,699,622	-	-
Finance leases - minimum lease payments:				
Not later than 1 year	69,145,755	123,090,595	69,145,755	123,090,595
Later than 1 year and not later than 5 years	47,844,576	101,409,474	47,844,576	101,409,474
Total gross finance leases	116,990,331	224,500,069	116,990,331	224,500,069

During the year, the group was in default of covenants under borrowing agreements by:

- National Industrial Credit Bank Limited
- Commercial Bank of Africa Limited

After the reporting date, the group has settled all its liabilities due to National Industrial Credit Bank Limited. These liabilities amounted to Shs. 9.3 million. The group also settled liabilities of Shs. 196 million due to Commercial Bank of Africa Limited.

14. Deferred tax

Deferred tax is calculated in full, on all temporary timing differences under the liability method using a principal tax rate of 30% (2010: 30%). The movement on the deferred tax account is as follows:

	Group & Company	
	2011 Shs	2010 Shs
At start of year	116,541,997	103,320,303
Charge to profit or loss (Note 9)	5,068,940	13,221,694
At end of year	121,610,937	116,541,997

Notes to the Financial Statements

for the year ended 31 December 2011

14. Deferred tax (continued)

Deferred tax liabilities/(assets) and deferred tax (credit)/charge in profit or loss are attributable to the following items:

	At start of year Shs	Group & Company (Credit)/charge to profit or loss Shs	At end of year Shs
Deferred tax liabilities			
Property, plant and equipment	106,571,000	(4,030,511)	102,540,489
Revaluation surplus	30,266,000	(947,000)	29,319,000
Foreign exchange differences	-	2,292,448	2,292,448
	136,837,000	(2,685,063)	134,151,937
Deferred tax (assets)			
Other provisions	(12,541,000)	-	(12,541,000)
Foreign exchange differences	(2,810,000)	2,810,000	-
Tax losses	(4,944,003)	4,944,003	-
	(20,295,003)	7,754,003	(12,541,000)
Net deferred tax liability	116,541,997	5,068,940	121,610,937

Deferred tax assets on tax losses carried forward are only recognised to the extent of certainty of availability of sufficient future taxable profits to utilise such losses against. Deferred tax assets amounting to Shs. 53.9 million in respect of tax losses carried forward amounting to Shs. 179.9 million that can be carried forward against future taxable profits have not been recognised. Tax losses are available for offset for five years following the period they are incurred.

Notes to the Financial Statements

for the year ended 31 December 2011

15. Property, plant and equipment - Group

Year ended 31 December 2011

	Freehold land Shs	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fittings and equipment Shs	Motor vehicles Shs	Computers, faxes and copiers Shs	Beer containers Shs	Capital work-in- progress Shs	Total Shs
Cost										
At start of year	8,353,725	7,489,682	265,735,098	29,764,075	30,332,071	896,823,207	37,051,417	27,437,118	14,672,344	1,317,658,737
Additions	-	-	-	-	143,980	-	138,320	-	-	282,300
Disposals	-	-	-	-	-	(110,961,505)	-	(4,430,000)	-	(115,391,505)
Assets scrapped	-	-	-	-	-	(402,281)	-	-	-	(402,281)
At end of year	8,353,725	7,489,682	265,735,098	29,764,075	30,476,051	785,459,421	37,189,737	23,007,118	14,672,344	1,202,147,251
Comprising										
Cost	8,353,725	7,489,682	87,775,098	29,764,075	30,476,051	785,459,421	37,189,737	23,007,118	14,672,344	1,024,187,251
Valuation	-	-	177,960,000	-	-	-	-	-	-	177,960,000
At end of year	8,353,725	7,489,682	265,735,098	29,764,075	30,476,051	785,459,421	37,189,737	23,007,118	14,672,344	1,202,147,251
Depreciation										
At start of year	-	254,100	7,767,417	28,063,034	27,229,219	456,740,393	35,933,522	10,054,519	-	566,042,204
Disposals	-	-	-	-	-	(105,031,738)	-	(4,429,920)	-	(109,461,658)
Impairment adjustment	-	-	-	-	-	35,343,352	-	-	-	35,343,352
Charge for the year	-	-	4,126,373	481,583	454,168	73,296,675	848,548	1,880,938	-	81,088,285
At end of year	-	254,100	11,893,790	28,544,617	27,683,387	460,348,682	36,782,070	7,505,537	-	573,012,183
Net book value	8,353,725	7,235,582	253,841,308	1,219,458	2,792,664	325,110,739	407,667	15,501,581	14,672,344	629,135,068

Buildings were professionally valued on 31 December 2009 by independent professional valuers on the basis of open market value. The book values of the buildings were adjusted to the revaluation and the resultant surplus, net of deferred tax, was credited to the revaluation reserve.

Notes to the Financial Statements

for the year ended 31 December 2011

15. Property, plant and equipment - Company

Year ended 31 December 2011

	Freehold land Shs	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fittings and equipment Shs	Motor vehicles Shs	Computers, faxes and copiers Shs	Beer containers Shs	Capital work-in- progress Shs	Total Shs
Cost										
At start of year	8,353,725	7,489,682	265,735,098	29,764,075	30,293,278	896,823,207	37,051,417	27,437,118	14,672,344	1,317,619,944
Additions	-	-	-	-	143,980	-	138,320	-	-	282,300
Disposals	-	-	-	-	-	(110,961,505)	-	(4,430,000)	-	(115,391,505)
Assets scrapped	-	-	-	-	-	(402,281)	-	-	-	(402,281)
At end of year	8,353,725	7,489,682	265,735,098	29,764,075	30,437,258	785,459,421	37,189,737	23,007,118	14,672,344	1,202,108,458
Comprising										
Cost	8,353,725	7,489,682	87,775,098	29,764,075	30,437,258	785,459,421	37,189,737	23,007,118	14,672,344	1,024,148,458
Valuation	-	-	177,960,000	-	-	-	-	-	-	177,960,000
At end of year	8,353,725	7,489,682	265,735,098	29,764,075	30,437,258	785,459,421	37,189,737	23,007,118	14,672,344	1,202,108,458
Depreciation										
At start of year	-	254,100	7,767,417	28,063,034	27,220,127	456,740,393	35,933,522	10,054,519	-	566,033,112
Disposals	-	-	-	-	-	(105,031,738)	-	(4,429,920)	-	(109,461,658)
Impairment adjustment	-	-	-	-	-	35,343,352	-	-	-	35,343,352
Charge for the year	-	-	4,126,373	481,583	450,455	73,296,675	848,548	1,880,938	-	81,084,572
At end of year	-	254,100	11,893,790	28,544,617	27,670,582	460,348,682	36,782,070	7,505,537	-	572,999,378
Net book value	8,353,725	7,235,582	253,841,308	1,219,458	2,766,676	325,110,739	407,667	15,501,581	14,672,344	629,109,080

Buildings were professionally valued on 31 December 2009 by independent professional valuers on the basis of open market value. The book values of the buildings were adjusted to the revaluation and the resultant surplus, net of deferred tax, was credited to the revaluation reserve.

Notes to the Financial Statements

for the year ended 31 December 2011

15. Property, plant and equipment - Group

Year ended 31 December 2010

	Freehold land Shs	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fittings and equipment Shs	Motor vehicles Shs	Computers, faxes and copiers Shs	Beer containers Shs	Capital work-in-progress Shs	Total Shs
Cost										
At start of year	8,353,725	-	265,468,098	29,764,075	30,332,071	821,200,186	36,912,417	29,073,000	14,601,752	1,235,705,324
Reclassification of leasehold land										
- IAS 17	-	7,489,682	-	-	-	-	-	-	-	7,489,682
Additions	-	-	267,000	-	-	127,695,379	139,000	-	70,592	128,171,971
Disposals	-	-	-	-	-	(52,072,358)	-	(1,635,882)	-	(53,708,240)
At end of year	8,353,725	7,489,682	265,735,098	29,764,075	30,332,071	896,823,207	37,051,417	27,437,118	4,672,344	1,317,658,737
Comprising										
Cost	8,353,725	7,489,682	87,775,098	29,764,075	30,332,071	896,823,207	37,051,417	27,437,118	14,672,344	1,139,698,737
Valuation	-	-	177,960,000	-	-	-	-	-	-	177,960,000
At end of year	8,353,725	7,489,682	265,735,098	29,764,075	30,332,071	896,823,207	37,051,417	27,437,118	14,672,344	1,317,658,737
Depreciation										
At start of year	-	-	3,556,800	27,476,099	26,376,547	423,837,918	35,226,624	17,112,999	-	533,586,987
Disposals	-	-	-	-	-	(50,604,400)	-	(1,635,842)	-	(52,240,242)
Write back	-	-	-	-	-	-	-	(5,422,638)	-	(5,422,638)
Charge for the year	-	254,100	4,210,617	586,935	852,672	83,506,875	706,898	-	-	90,118,097
At end of year	-	254,100	7,767,417	28,063,034	27,229,219	456,740,393	35,933,522	10,054,519	-	566,042,204
Net book value	8,353,725	7,235,582	257,967,681	1,701,041	3,102,852	440,082,814	1,117,895	17,382,599	14,672,344	751,616,533

Notes to the Financial Statements

for the year ended 31 December 2011

15. Property, plant and equipment - Company

Year ended 31 December 2010

	Freehold land Shs	Leasehold land Shs	Buildings Shs	Plant and machinery Shs	Furniture, fittings and equipment Shs	Motor vehicles Shs	Computers, faxes and copiers Shs	Beer containers Shs	Capital work-in-progress Shs	Total Shs
Cost										
At start of year	8,353,725	-	265,468,098	29,764,075	30,293,278	821,200,186	36,912,417	29,073,000	14,601,752	1,235,666,531
Reclassification of leasehold land - IAS 17	-	7,489,682	-	-	-	-	-	-	-	7,489,682
Additions	-	-	267,000	-	-	127,695,379	139,000	-	70,592	128,171,971
Disposals	-	-	-	-	-	(52,072,358)	-	(1,635,882)	-	(53,708,240)
At end of year	8,353,725	7,489,682	265,735,098	29,764,075	30,293,278	896,823,207	37,051,417	27,437,118	14,672,344	1,317,619,944
Comprising										
Cost	8,353,725	7,489,682	87,775,098	29,764,075	30,293,278	896,823,207	37,051,417	27,437,118	14,672,344	1,139,659,944
Valuation	-	-	177,960,000	-	-	-	-	-	-	177,960,000
At end of year	8,353,725	7,489,682	265,735,098	29,764,075	30,293,278	896,823,207	37,051,417	27,437,118	14,672,344	1,317,619,944
Depreciation										
At start of year	-	-	3,556,800	27,476,099	26,371,698	423,837,918	35,226,624	17,112,999	-	533,582,138
Disposals	-	-	-	-	-	(50,604,400)	-	(1,635,842)	-	(52,240,242)
Write back	-	-	-	-	-	-	-	(5,422,638)	-	(5,422,638)
Charge for the year	-	254,100	4,210,617	586,935	848,429	83,506,875	706,898	-	-	90,113,854
At end of year	-	254,100	7,767,417	28,063,034	27,220,127	456,740,393	35,933,522	10,054,519	-	566,033,112
Net book value	8,353,725	7,235,582	257,967,681	1,701,041	3,073,151	440,082,814	1,117,895	17,382,599	14,672,344	751,586,832

Notes to the Financial Statements

for the year ended 31 December 2011

15. Property, plant and equipment continued (Group and Company)

The gross carrying amount of any fully depreciated property, plant and equipment would have been Shs. 265,327,557 (2010: Shs. 281,877,853).

All the additions made during the year were made through cash payments.

Impairment losses amounting to Shs. 35,343,352 have been recognised in profit or loss under establishment expenses.

If the buildings were stated on the historical cost basis, the amounts would be as follows:

	Group & Company	
	2011 Shs	2010 Shs
Cost	80,716,000	80,716,000
Accumulated depreciation	(43,793,000)	(39,232,000)
Net book value	36,923,000	41,484,000

16. Investment property

	Group	
	2011 Shs	2010 Shs
Cost		
At start of year	365,000,000	394,723,293
Fair value (loss) on revaluation of investment property	-	(29,723,293)
Disposal	(365,000,000)	-
At end of year	-	365,000,000

Investment property relates to an investment in building through Aviation Warehouse International Limited. The investment property was disposed off during the year.

17. Goodwill

	Group	
	2011 Shs	2010 Shs
At start of year	46,000,000	46,000,000
Impairment of goodwill (Note 8)	(46,000,000)	-
At end of year	-	46,000,000

The goodwill arose on the consolidation of Aviation Warehouse International Limited. The impairment loss has been included in profit or loss.

Notes to the Financial Statements

for the year ended 31 December 2011

18. Investment in subsidiaries (Company)

	Country of incorporation	Holding	At start of year Shs	Impairment provisions Shs	At end of year Shs
Express Mombasa Limited	Kenya	100%	2,810,000	-	2,810,000
Container Services Limited	Kenya	100%	2,150,000	-	2,150,000
Airporter Limited	Kenya	100%	2,531,000	-	2,531,000
Aviation Warehouse International Limited	Kenya	49%	46,490,000	(46,489,000)	1,000
			53,981,000	(46,489,000)	7,492,000

Express Mombasa Limited, Container Services Limited and Airporter Limited are dormant companies.

Aviation Warehouse International Limited is jointly owned by Express Kenya Limited and a director of the company. The results of the subsidiary are consolidated based on common directorship and operating control by a director of both companies. The principal asset of the subsidiary was disposed during the year.

19. Inventories

	Group & Company	
	2011 Shs	2010 Shs
Consumables and spares	-	2,418,357

20. Trade and other receivables

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Trade receivables	119,206,483	170,504,719	116,009,600	170,823,515
Less: impairment provisions	(50,279,091)	(50,279,091)	(50,279,091)	(50,279,091)
Net trade receivables	68,927,392	120,225,628	65,730,509	120,544,424
Prepayments and deposits	7,830,392	6,924,056	7,830,392	6,924,056
Other receivables	6,806,426	3,171,319	6,428,822	3,171,319
Receivable from related parties (Note 24)	12,540,492	17,684,701	13,476,778	171,684,701
	96,104,702	148,005,704	93,466,501	302,324,500
Movement in impairment provisions				
At start of year	50,279,091	60,531,091	50,279,091	60,531,091
Reversals	-	(10,252,000)	-	(10,252,000)
At end of year	50,279,091	50,279,091	50,279,091	50,279,091

The carrying amounts of trade and other receivables are denominated in the following currencies:

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Kenyan Shilling	87,120,207	137,107,704	84,482,006	291,426,500
United States Dollar	8,984,495	10,898,000	8,984,495	10,898,000
	96,104,702	148,005,704	93,466,501	302,324,500

In the opinion of the directors, the carrying amounts of trade and other receivables approximate to their fair value.

The group's credit risk arises primarily from trade receivables and receivables from related parties. The directors are of the opinion that the group's exposure is limited because the debt is widely held. There is no significant concentration of credit risk. The directors have made a provision for the portion of the receivable whose recovery is in doubt.

Notes to the Financial Statements

for the year ended 31 December 2011

20. Trade and other receivables (continued)

Trade receivables that are over three months due are considered past due.

As of 31 December 2011, trade receivables amounting to Shs. 12,298,804 (2010: Shs. 6,469,583) were past due but not impaired. These relate to a number of independent customers for whom there is no recent history of default or where the money has been subsequently received.

The ageing analysis of these trade receivables is as follows:

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
4 to 12 months	12,298,804	6,469,583	12,298,804	6,469,583

The other classes within trade and other receivables do not contain impaired assets.

The maximum exposure to credit risk at the reporting date is the fair value of each class of receivable mentioned above. The group does not hold any collateral as security.

21. Cash and cash equivalents

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Cash at bank and in hand	14,362,038	7,447,889	11,432,578	6,713,851
For the purposes of the statement of cashflows, the year-end cash and cash equivalents comprise the following:				
Cash and bank balances	14,362,038	7,447,889	11,432,578	6,713,851
Bank overdraft (Note 13)	(217,423,526)	(241,538,849)	(217,423,526)	(241,538,849)
	(203,061,488)	(234,090,960)	(205,990,948)	(234,824,998)

The carrying amounts of cash and cash equivalents are denominated in the following currencies:

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Kenya Shillings	14,133,537	7,419,049	11,204,077	6,685,011
United States Dollar	228,501	-	228,501	-
Sterling Pound	-	28,840	-	28,840
	14,362,038	7,447,889	11,432,578	6,713,851

22. Trade and other payables

	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Trade payables	55,087,954	67,881,608	54,929,954	52,321,608
Accruals	25,433,992	21,134,086	25,433,992	21,134,086
Other payables	22,443,715	23,824,941	20,180,018	23,851,989
Payable to related parties (Note 24)	19,943,971	23,411,798	23,143,954	27,103,298
	122,909,632	136,252,433	123,687,918	124,410,981

Notes to the Financial Statements

for the year ended 31 December 2011

22. Trade and other payables (continued)

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value.

The carrying amounts of the group's trade and other payables are denominated in the following currencies:

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Kenya Shillings	120,082,298	136,234,866	120,860,584	124,393,414
United States Dollar	2,362,216	-	2,362,216	-
Euro	247,687	4,101	247,687	4,101
Danish Kroner	177,004	12,965	177,004	12,965
Canadian Dollar	40,427	501	40,427	501
	122,909,632	136,252,433	123,687,918	124,410,981

The maturity analysis of trade and other payables is within 12 months.

23. Cash from operations

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Reconciliation of (loss)/profit before tax to cash from operations				
(Loss)/profit before tax	(222,354,797)	(14,869,306)	(217,864,267)	42,190,211
Adjustments for:				
Depreciation on property, plant and equipment (Note 15)	81,088,285	84,695,459	81,084,572	84,691,216
Assets scrapped (Note 15)	402,281	-	402,281	-
Impairment on property, plant and equipment (Note 15)	35,343,352	-	35,343,352	-
(Gain) on disposal of property, plant and equipment	(31,150,154)	(6,400,448)	(31,150,154)	(6,400,448)
(Gain) on disposal of property, plant and equipment	(8,287,022)	-	-	-
Fair value changes on investment property (Note 16)	-	29,723,000	-	-
Interest expense	70,414,804	90,369,175	54,843,151	50,276,627
Impairment provisions (Note 8/18)	46,000,000	-	46,489,000	-
Interest received	(5,547,920)	-	-	-
Net foreign exchange loss	25,624,809	9,680,011	9,838,763	5,469,670
Changes in working capital:				
- inventories	2,418,357	6,454,000	2,418,357	6,453,643
- trade and other receivables	51,901,002	(17,154,000)	208,857,999	(12,521,000)
- trade and other payables	(13,342,801)	54,560,000	(723,063)	26,734,000
Cash from operations	32,510,196	237,057,891	189,539,991	196,893,919

Notes to the Financial Statements

for the year ended 31 December 2011

24. Related party transactions and balances

The company is controlled by Etcoville Holdings Limited incorporated in Kenya, which owns 60% of the company's shares. The remaining 40% of the shares are widely held. The ultimate parent company is Etcoville Investments Limited.

The following transactions were carried out with related parties:

		Group	
		2011 Shs	2010 Shs
i)	Sale of services to related parties		
	Dunlop Industries Limited	-	272,000
	Flowerwings Kenya Limited	266	71,000
	Priority Motors Limited	-	131,000
	Truck Mart East Africa Limited	27,562,172	100,993,000
	Airport Trade Centre Limited	9,694	-
	Diniz Holdings Limited	30,000	-
		27,602,132	101,467,000
ii)	Purchase of goods and services		
	Priority Motors Limited	-	8,850,000
	Flowerwings Kenya Limited	16,752,127	56,948,000
	Diniz Holdings Limited	-	53,852,000
	Truck Mart East Africa Limited	3,172,692	137,628,000
	Airport Trade Centre Limited	17,858,446	-
		37,783,265	257,278,000
iii)	Key management compensation		
	Directors remuneration	18,470,000	18,079,800
iv)	Outstanding balances arising from sale of services		
		Group	Company
		2011 Shs	2010 Shs
	Receivable from related parties (Note 20)		
	Aviation Warehouse International Limited	-	936,286
	Truck Mart East Africa Limited	10,702,078	16,115,000
	Priority Suppliers Limited	-	131,000
	Ectoville Holdings Limited	1,293,271	1,293,271
	Ectoville Investments Limited	516,769	516,769
	Dunlop Industries Limited	-	-
	Flowerwings Kenya Limited	28,374	28,374
		12,540,492	171,684,701

The amount due from Aviation Warehouse International Limited is subject to an interest rate of 9% per annum.

Notes to the Financial Statements

for the year ended 31 December 2011

24. Related party transactions and balances (continued)

v) Outstanding balances arising from purchase of goods and services

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Payable to related parties (Note 22)				
Truck Mart East Africa Limited	15,427,217	15,334,000	15,427,217	15,334,000
Airport Trade Centre Limited	4,447,154	-	4,447,154	-
Diniz Holdings Limited	-	8,302,798	-	8,302,798
Flowerwings Kenya Limited	-	(225,000)	-	(225,000)
Express Mombasa Limited	-	-	-	3,215,000
Airporter Limited	23,200	-	904,431	-
Container Services Limited	23,200	-	1,888,652	-
Express Mombasa Limited	23,200	-	476,500	476,500
	19,943,971	23,411,798	23,143,954	27,103,298
vi) Amount due to director (Note 13)	32,587,129	98,288,887	-	20,000,000

The advances from directors are subject to interest rate of 9%, have no specific dates of repayment and are unsecured.

25. Commitments

Operating lease commitments - group and company as a lessee

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
The future minimum lease payments payable under non-cancellable operating leases are as follows:				
Not later than 1 year	11,313,360	594,000	11,313,360	594,000
Later than 1 year and not later than 5 years	54,153,288	-	54,153,288	-
	65,466,648	594,000	65,466,648	594,000

The company leases various properties under non-cancellable operating lease agreements. The lease terms are between 5 to 6 years and these are generally renewable at the end of the tenure of the lease.

26. Risk management objectives and policies

Financial risk management

The group's activities expose it to a variety of financial risks: market risk (including foreign exchange risk and interest rate risk), credit risk and liquidity risk.

The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the company's financial performance.

Risk management is carried out by the management under policies approved by the board of directors.

Notes to the Financial Statements

for the year ended 31 December 2011

26. Risk management objectives and policies (continued)

(a) Market risk

- Foreign exchange risk

The group is exposed to foreign exchange risk arising from various currency exposures primarily with respect to the US Dollar. The risk arises from future transactions, assets and liabilities in the statement of financial position.

The table below summarises the effect on post-tax (loss) had the Kenya Shilling weakened by 10% against the US Dollar, with all other variables held constant. If the Kenya Shilling strengthened against each currency, the effect would have been the opposite.

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Effect of (loss) - increase	9,249,586	13,251,155	9,265,581	8,241,940

- Interest rate risk

The group's exposure to interest rate risk arises from borrowings.

The table below summarises the effect on post-tax (loss) had interest rates been 1% higher, with all other variables held constant. If the interest rates were lower by 1%, the effect would have been the opposite.

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Effect on (loss) - increase	4,277,148	5,974,165	2,731,585	3,349,290

(b) Credit risk

Credit risk arises from cash and cash equivalents, and deposits with banks and financial institutions, as well as credit exposures to customers, including outstanding receivables.

None of the financial assets that are fully performing has been renegotiated in the last year.

Exposure to this risk has been quantified in each financial asset note in the financial statements along with any concentration of risk.

(c) Liquidity risk

Prudent liquidity risk management implies maintaining sufficient cash and marketable securities, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, the group's management maintains flexibility in funding by maintaining availability under committed credit lines.

Notes 13 and 22 disclose the maturity analysis of borrowings and trade and other payables respectively.

Notes to the Financial Statements

for the year ended 31 December 2011

27. Capital management

The group's objectives when managing capital are:

- to provide an adequate return to shareholders by pricing products and services commensurate with the level of risk;
- to safeguard the entity's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- to maintain a strong asset base to support the development of business.
- to maintain an optimal capital structure to reduce the cost of capital.

The group sets the amount of capital in proportion to risk. The group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the group may adjust the amount of dividends paid to shareholders, bonuses paid to directors or issue new shares. Consistently with others in the industry, the group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt : capital. Net debt is calculated as total debt (as shown in the statement of financial position) less cash and cash equivalents. Capital comprises all components of equity.

The gearing ratios at 31 December 2011 and 2010 were as follows:

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
Total borrowings (Note 13)	367,000,986	706,041,381	334,413,857	486,038,918
Less cash and cash equivalents (Note 21)	(14,362,038)	(7,447,889)	(11,432,578)	(6,713,851)
Net debt	352,638,948	698,593,492	322,981,279	479,325,067
Total equity	170,557,831	396,369,669	189,582,979	412,516,186
Gearing ratio (%)	206.76	176.25	170.36	116.20

The increase in the gearing ratio is primarily due to a reduction on total equity due to the loss during the year.

28. Contingent liabilities

The company is a defendant in various legal actions. After seeking appropriate legal advice, the directors are of the opinion that the outcomes of such actions are not expected to give rise to any significant losses.

29. Incorporation

Express Kenya Limited is incorporated in Kenya under the Companies Act as a public liability company and is domiciled in Kenya.

30. Presentation currency

The financial statements are presented in Kenya Shillings (Shs).

Schedule of Direct Costs and Administrative Expenditure - (Group And Company)

for the year ended 31 December 2011

	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
1. DIRECT EXPENSES				
Purchases	121,908,547	210,228,211	121,908,547	210,168,111
Provision for obsolete stocks	-	2,000,000	-	2,000,000
Salaries and wages	53,056,731	48,116,815	53,056,731	48,116,815
Motor vehicle running expenses	161,039,597	299,723,222	161,039,597	299,723,222
Insurance	11,924,032	17,086,631	11,924,032	17,086,631
Impairment on property, plant and equipment	35,343,352	-	35,343,352	-
Depreciation on property, plant and equipment	72,669,439	74,661,547	72,669,439	74,657,304
Total direct costs	455,941,698	651,816,426	455,941,698	651,752,083
2. ADMINISTRATIVE EXPENSES				
Employment:				
Salaries and wages	22,497,590	27,036,127	22,497,590	27,036,127
Medical expenses	1,821,955	1,535,551	1,821,955	1,535,551
Staff welfare and other costs	1,328,899	2,178,751	1,328,899	2,178,751
Total employment costs	25,648,444	30,750,429	25,648,444	30,750,429
Other administration expenses:				
Directors' remuneration	18,470,000	18,079,800	18,470,000	5,437,638
Management fees	7,586,206	-	-	-
Postages and telephones	6,531,547	7,417,921	6,531,547	7,417,921
Advertisement expenses	2,074,226	1,574,860	2,074,226	1,574,860
Vehicle running expenses	1,405,590	759,607	1,405,590	759,607
Travelling and transport	1,489,771	2,135,989	1,489,771	2,135,989
Printing and stationery	799,889	892,614	799,889	892,614
Subscriptions and periodicals	997,108	1,601,951	997,108	1,601,951
Audit fees				
- current year	2,679,600	2,350,000	2,500,000	2,240,000
- underprovision in prior years	1,907,900	311,750	1,905,000	310,000
Legal and professional fees	4,962,644	1,988,153	4,954,374	1,648,073
Legal claims	5,350,000	4,995,766	5,350,000	4,995,766
Secretarial fees	83,680	23,800	57,000	-
Bank charges and commissions	2,831,308	2,692,161	2,658,652	2,584,741
Donations	25,000	300,000	25,000	300,000
Bad debts provision	-	(10,252,000)	-	(10,252,000)
Bad debts written off	40,000	46,770	40,000	46,770
Fines and penalties	303,309	1,091,721	303,309	520,048
Stamp duty	-	171,080	-	171,080
Miscellaneous expenses	155,827	20,780	155,370	21,169
Total other administration expenses	57,693,605	36,202,723	49,716,836	22,406,227
Total administrative expenses	83,342,049	66,953,152	75,365,280	53,156,656

Schedule of Other Operating Expenditure - (Group and Company)

for the year ended 31 December 2011

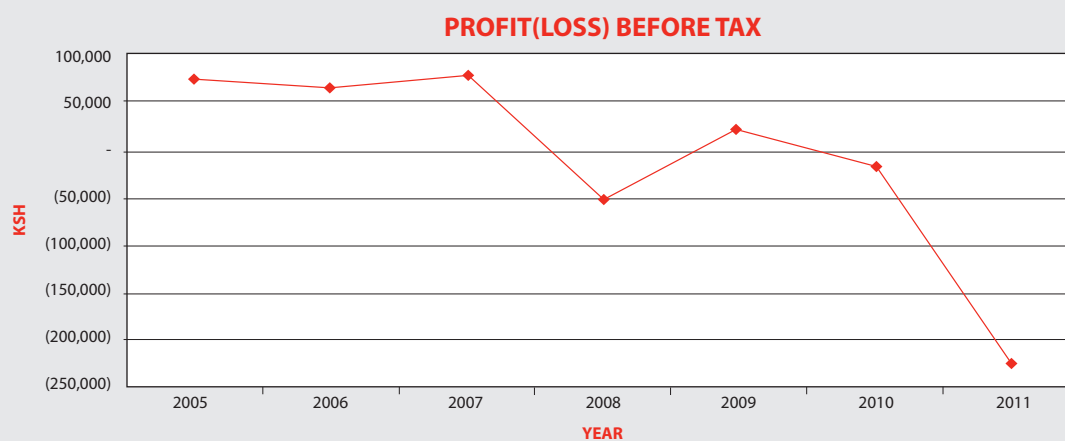
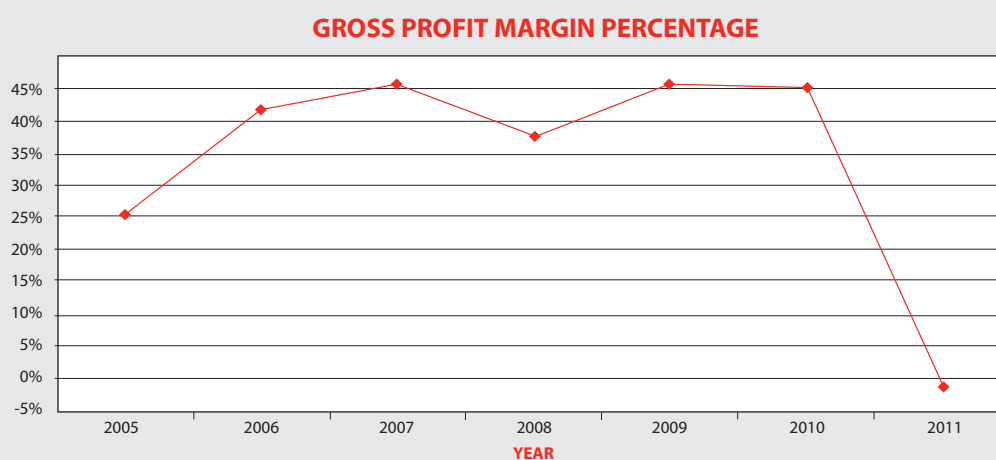
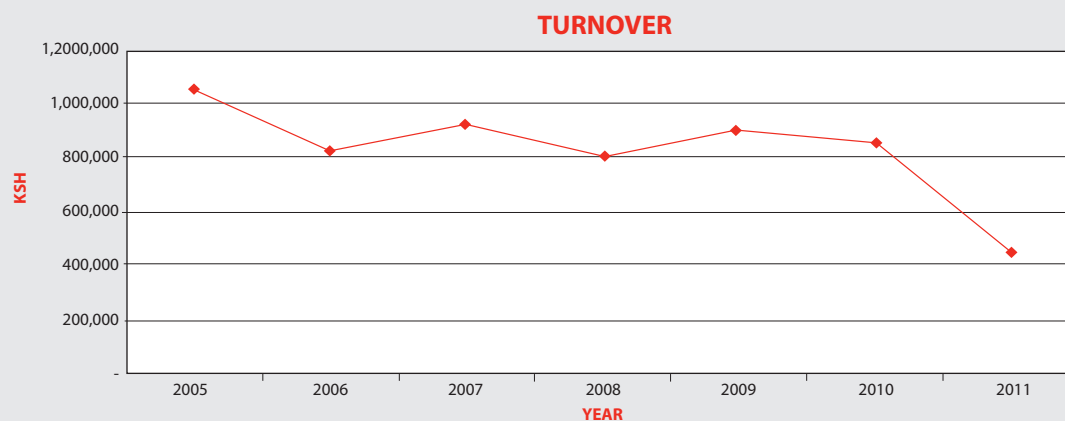
	Group		Company	
	2011 Shs	2010 Shs	2011 Shs	2010 Shs
3. OTHER OPERATING EXPENSES				
Establishment:				
Rent and rates	10,926,717	5,553,950	13,459,355	5,225,948
Electricity and water	4,533,621	4,608,895	4,533,621	4,363,272
Repairs and maintenance	2,792,592	1,010,917	2,792,592	1,010,917
Insurance	551,354	867,240	551,354	650,268
Licenses	45,000	45,800	-	-
Security expenses	5,864,954	9,272,969	5,864,954	9,272,969
Fair value loss on investment property	-	29,723,293	-	-
Depreciation on property, plant and equipment	8,418,846	10,033,912	8,415,133	10,033,912
Total other operating expenses	33,133,084	61,116,976	35,617,009	30,557,286
4. FINANCE COSTS				
Foreign exchange loss	25,624,809	9,680,011	9,838,763	5,469,670
Interest expense:				
- bank borrowings and overdraft	33,854,166	33,299,625	18,282,513	14,858,997
- cheque and invoice discounting	3,996,178	3,449,292	3,996,178	3,449,292
- finance leases	32,564,460	31,968,338	32,564,460	31,968,338
- related parties borrowings	2,986,666	21,651,920	-	-
Total finance costs	99,026,279	100,049,186	64,681,914	55,746,297

Top 30 Shareholders

as at 31 December 2011

Name	Total Shares	%
ETCOVILLE HOLDINGS LIMITED	21,392,898	60.43%
PAUL WANDERI NDUNGU	1,855,884	5.24%
JAPHETH MULINGE MUKUMBU	699,100	1.97%
CFC STANBIC NOMINEES LTD. A/C R48701	600,549	1.70%
STANDARD CHARTERED NOMINEES A/C 9397	457,054	1.29%
CFCFS NOMINEE LTD A/C HDZ	249,600	0.71%
ALNASHIR ABDUL KARIM CHATURBHAI POPAT	237,600	0.67%
HECTOR ROBERT DINIZ	178,700	0.50%
PATRICK KARIUKI & AGNES NDUNG'U KARINGE	177,700	0.50%
THE JUBILEE INSURANCE COMPANY OF KENYA LIMITED	158,600	0.45%
ANDREW MUKITE MUSANGI	153,100	0.43%
ELEGANT HOLDINGS LIMITED	150,800	0.43%
LAVINGTON SECURITY GUARDS LIMITED	125,498	0.35%
MACHARIA MIGWI	110,000	0.31%
SHERRY BLUE PROPERTIES LIMITED	107,600	0.30%
SUPINDER SINGH SOIN	106,000	0.30%
ROBINSON NGIGI GOCO	98,007	0.28%
KOTECHA KISHORCHANDRA & KOTECHA AJAY	97,597	0.28%
ALY POPAT	92,900	0.26%
JOSEPHAT KIMATA WA MUKUI	92,331	0.26%
FUNGUO INVESTMENTS LIMITED	77,287	0.22%
AFRICAN ALLIANCE KENYA NOMINEES A/C 2020	70,100	0.20%
SIMON SAINING'U	66,200	0.19%
DYER AND BLAIR INVESTMENT BANK LTD. DYER & BLAIR DEALING	62,600	0.18%
PRAVINKANT LAKHAMSHI SHAH	61,886	0.17%
ALPA NISHIT CHHEDA; NISHIT SURENDRAKUMAR CHHEDA	60,000	0.17%
VISHAL SUDHIRKUMAR SHAH	58,100	0.16%
FRANCIS P NGILLAH	55,027	0.16%
SAVITABEN VELJI RAICHAND SHAH	53,556	0.15%
CINDY KATILE MWENDWA	52,000	0.15%
SHARES SELECTED	27,758,274	78.40%
SHARES NOT SELECTED - 4,232 Shareholders	7,645,516	21.60%
SHARES ISSUED	35,403,790	100.00%
TOTAL SHAREHOLDERS	4,262	
CDSC IMMOBILISATION:		
NO. OF SHAREHOLDERS AT THE CDSC	3,273	
NO. OF SHARES HELD AT CDSC	34,181,177	

Financial Highlights



Proxy Form

I/We _____

of _____

being a member(s) of the above named company hereby appoint _____

of _____

Or failing him _____

of _____

as my/our proxy to attend and on a poll vote for me/us/ on my /our behalf at the 41st Annual General Meeting of the said Company to be held at 11.00 a.m. on 21st September 2012 at Eka Hotel, off Mombasa Road, Nairobi and at any adjournment thereof.

Signed this _____ day of _____ 2012.

Signature _____

A member entitled to attend and vote at this meeting is entitled to appoint a proxy who need not be a member of the Company.

N.B. This proxy form must be deposited either at the Registered office of the company, Express House, Road A, off Enterprise Road, P O Box 40433-00100 Nairobi or with the Company Secretaries, Equatorial Secretaries and Registrars, Kalamu House, Grevillea Grove, P O Box 47323-00100 Nairobi so as to reach not later than 48 hours before the meeting.

Fomu ya Uwakilishi

Mimi/Sisi _____

wa _____

nikiwa/tukiwa/mwanachama wa kampuni hii iliyotajwa hapa juu namchagua/tunachagua _____

wa _____

au akikosa yeye/wakikosa wao _____

wa _____

kupiga kura badala ya mimi/sisi kwa niaba yangu/yetu katika mkutano Mkuu wa Mwaka wa 41 wa Kampuni hii utakaofanywa saa tano asubuhi tarehe 21 Septemba 2012 katika Eka Hotel, Mombasa Road, Nairobi, na katika mkutano wowote utakaoahirishwa.

Imetiwa sahihi leo _____ siku ya _____ 2012.

Sahihi _____

Mwanachama mwenye haki ya kuhudhuria na kupiga kura katika mkutano huu ana haki ya kumchagua Mwakilishi au Waakilishi ambaye/ambao si lazima kuwa Mshiriki au Washiriki.

TAZAMA: Fomu hii ya Uwakilishi lazima kufikishwa katika Afisi ya Kampuni hii, Sanduku la Posta 40433 - 00100, Ectoville, karibu na Enterprise Road, Nairobi katika muda usiopungua masaa 48 kabla ya mkutano kufanyika.

STAMP

The Company Secretary
Express Kenya Limited
P.O. Box 40433-00100, Nairobi-Kenya



A Member of Diniz Holdings Group